Lease of Business Premises

Lease reference ACM-UK-C-03

Acme Industrial Holdings Limited to Pennine Fabrication Limited · Unit 9, Oakwood Industrial Estate, Leeds LS12 6BT

PARTICULARS

Landlord	Acme Industrial Holdings Limited
Tenant	Pennine Fabrication Limited
Guarantor	Pennine Group Holdings Limited
Premises	Unit 9, Oakwood Industrial Estate, Leeds LS12 6BT
Commencement Date	24th June 2026
Term	15 years from the Commencement Date, ending on 23rd June 2041
Expiry Date	23rd June 2041
Annual Rent	£95,000.00 per annum plus VAT, payable by quarterly instalments of £23,750.00 in advance
Rent Review Dates	24th June 2031, 24th June 2036 (CPI)
Service Charge	Tenant's proportion; estimate £12,400.00 per annum
Rent Deposit	None
Permitted Use	Light industrial use and storage
Renewal	No right of renewal
Lease Reference	ACM-UK-C-03

OPERATIVE PROVISIONS

1. Grant and Term

The Landlord leases the Premises to the Tenant for the Term, commencing on the Commencement Date and expiring on the Expiry Date, on the terms of this Lease.

2. Rent

The Tenant shall pay the Rent quarterly in advance on the usual quarter days, without deduction or set-off. All amounts are in pounds sterling (GBP).

3. Rent Review

On each Rent Review Date (24th June 2031, 24th June 2036) the Rent shall be adjusted in proportion to the movement in the Retail Prices Index over the period since the later of the Commencement Date and the previous Rent Review Date.

4. Service Charge

The Tenant shall pay the Tenant's proportion of the service charge of the building, including rates, building insurance premiums, cleaning and maintenance of common areas, and management fees. The Service Charge estimate for the first year of the Term is £12,400.00 per annum, payable monthly in advance by equal instalments, with an annual reconciliation against actual service charge. The Tenant's liability for service charge in any year is capped at the previous year's service charge increased by 4%.

5. Rent Deposit

No rent deposit is payable under this lease.

6. Permitted Use

The Tenant shall use the Premises only for the Permitted Use: light industrial use and storage. Any change of use requires the Landlord's prior written consent.

7. Renewal

The Tenant has no right of renewal. Any new lease at the end of the Term is at the Landlord's discretion.

8. Early Termination

Neither party may terminate this lease before the Expiry Date other than for breach.

9. Reinstatement

At the end of the Term the Tenant shall at its own cost remove its fit-out, alterations and signage and reinstate the Premises to the condition recorded in the Premises Condition Report, repairing all damage, and shall pay the Landlord's costs of any reinstatement work the Tenant fails to carry out.

10. Insurance

The Landlord shall insure the building for full replacement value and the Tenant shall reimburse the premium as part of the service charge. The Tenant is responsible for insuring its own contents.

11. Guarantee

Pennine Group Holdings Limited (the Guarantor) guarantees to the Landlord the payment of the Rent and the performance of the Tenant's obligations under this lease.

12. Governing Law

This Lease is governed by the law of England and Wales. Sections 24 to 28 of the Landlord and Tenant Act 1954 are excluded.

Signed for the Landlord Acme Industrial Holdings Limited	Signed for the Tenant Pennine Fabrication Limited	Signed by the Guarantor Pennine Group Holdings Limited